

2022

Cybersecurity
INSIDERS

XDR REPORT

The State of Extended Detection and Response

eSENTIRE

INTRODUCTION

Extended Detection and Response or XDR takes an evolving approach to threat detection and response capabilities by bringing additional context to external threat intelligence and the internal business environment. It ingests, enriches, and contextualizes data to provide holistic protection against cyberattacks, unauthorized access, and misuse by breaking down traditional security silos across all data sources. In doing so, it extends the enhanced visibility and threat containment functionality traditionally provided by point solutions like NDR and EDR across the complete IT ecosystem.

eSentire and Cybersecurity Insiders conducted a comprehensive survey of 227 cybersecurity professionals to reveal the latest trends and challenges in managed XDR, why and how organizations invest in XDR services, and the security capabilities companies are prioritizing.

Key findings include:

- Contextualizing and correlating endpoint, network, cloud, identity, user behavior, and email data are the top challenges organizations are looking to address through XDR (64%). Since XDR also automatically blocks high fidelity threats, 59% of organizations are turning to XDR to move beyond contextualizing and correlating data across multiple signals to automate threat detection and initiate the remediation process.
- Over 70% of respondents agree that XDR is an important foundational platform that MDR providers and MSSPs should offer to enable effective multi-signal MDR services that remediate threats at speed.
- Organizations consider the lack of skilled security staff (52%) their top challenge, followed by detection of advanced threats (48%), and speed of detection and response (46%).
- Almost half of the survey respondents take between three to five days to detect and contain a cyber threat. An alarming majority of organizations (69%) report that their current managed services provider responds to threats on their behalf only up to 50% of the time.

We would like to thank [eSentire](#) for supporting this important industry research. We hope you find this report informative and helpful as you continue your efforts in protecting your organizations against evolving threats.

Thank you,

Holger Schulze



Holger Schulze

CEO and Founder
Cybersecurity Insiders

Cybersecurity
INSIDERS

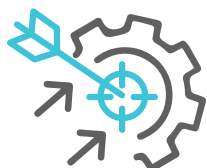
XDR BENEFITS AND PROVIDER CONSIDERATIONS

XDR platforms should be considered a foundational component to multi-signal MDR that delivers complete threat detection, containment, and response. There are several benefits to implementing XDR in-house or engaging an MDR provider that leverages XDR, including:



Highly efficient Security Operations Center (SOC) support

Offering the advantage of highly efficient 24/7 Security Operations Center (SOC) support that pushes new detection and containment knowledge when new threats emerge. For example, XDR offers increased threat surface visibility and enables rapid correlation and improvements in time to detect and overall detection rate. These capabilities are accomplished by correlating signal data for high-fidelity detections.



Automation to drive higher levels of efficiency and security operations scale

Driving higher levels of efficiency by tuning detections to business context, automatically blocking attacks, and applying machine learning models to cut noise and reduce false positives. These capabilities enable an organization's security operations to scale, permitting their SOC analysts to focus on higher priority security events that require human intuition and hand-to-hand combat.



Greater visibility and insight to accelerate threat hunting and response

Accelerating threat hunting and response with threat intel and context about security threats. XDR providers with deep machine learning expertise can build new AI models to automate detection and containment measures more effectively as new threats emerge.

Superior XDR providers partner with best-of-breed technology providers that can seamlessly integrate into their solution across multiple signals, including endpoint, log, cloud, and identity data sources. It is also essential to know if the provider integrates their own threat intelligence from proactive threat hunting, open-source intelligence, and commercial threat feeds to inform the XDR-driven detections. Finally, determine if "bringing your own licenses" is available; otherwise, switching to new technology platforms might be required.

KEY CHALLENGES WITH THREAT DETECTION

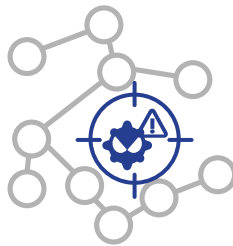
When asked about their biggest challenges with threat intelligence and threat hunting, organizations state lack of skilled security staff (52%) as the top challenge. This is closely followed by detection of advanced threats (48%) and speed of detection and response (46%).

► What are your biggest challenges with threat intelligence and threat hunting?



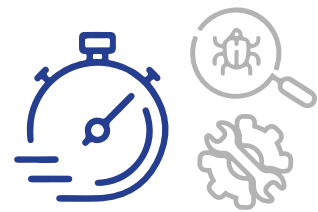
52%

Lack of skilled/
trained security staff



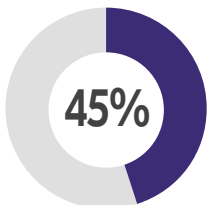
48%

Detection of
advanced threats

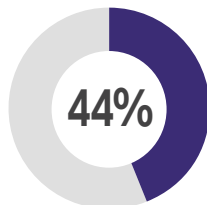


46%

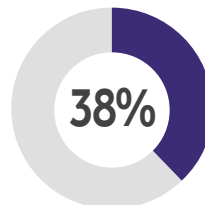
Speed of detection
and response



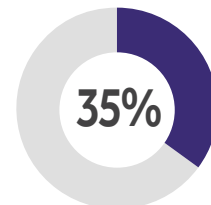
Lack of
budget



Too many false
positives



Lack of visibility into
threats across the
IT environment



Poor integration/
interoperability
between solutions

Slow time to detect and respond to threats 35% | System complexity 31% | Lack of effective solutions in the market 17% | Other 3%

XDR services enable MDR providers to focus top talent on highest severity investigations and containment, while high fidelity threats can be automatically blocked using machine learning models.

TIME TO DETECTION & CONTAINMENT

With the evolution of ransomware-as-a-service and an increase in zero-day vulnerabilities, threats are moving faster than ever from gaining initial access into an environment to actioning objectives and exfiltrating sensitive data.

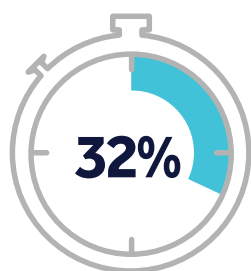
However, almost half of the survey respondents take between three to five days to detect and contain a cyber threat. In this context, XDR is an effective solution in reducing attacker dwell time and improving time to detect and contain threats.

► How long does it take your team to detect and contain a cyber threat?

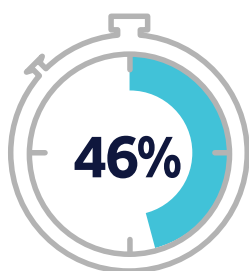


78%

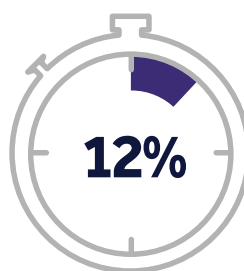
of respondents take at least 5 days to detect and contain a cyber threat



Less than
1 day



3-5
days



About
1 week

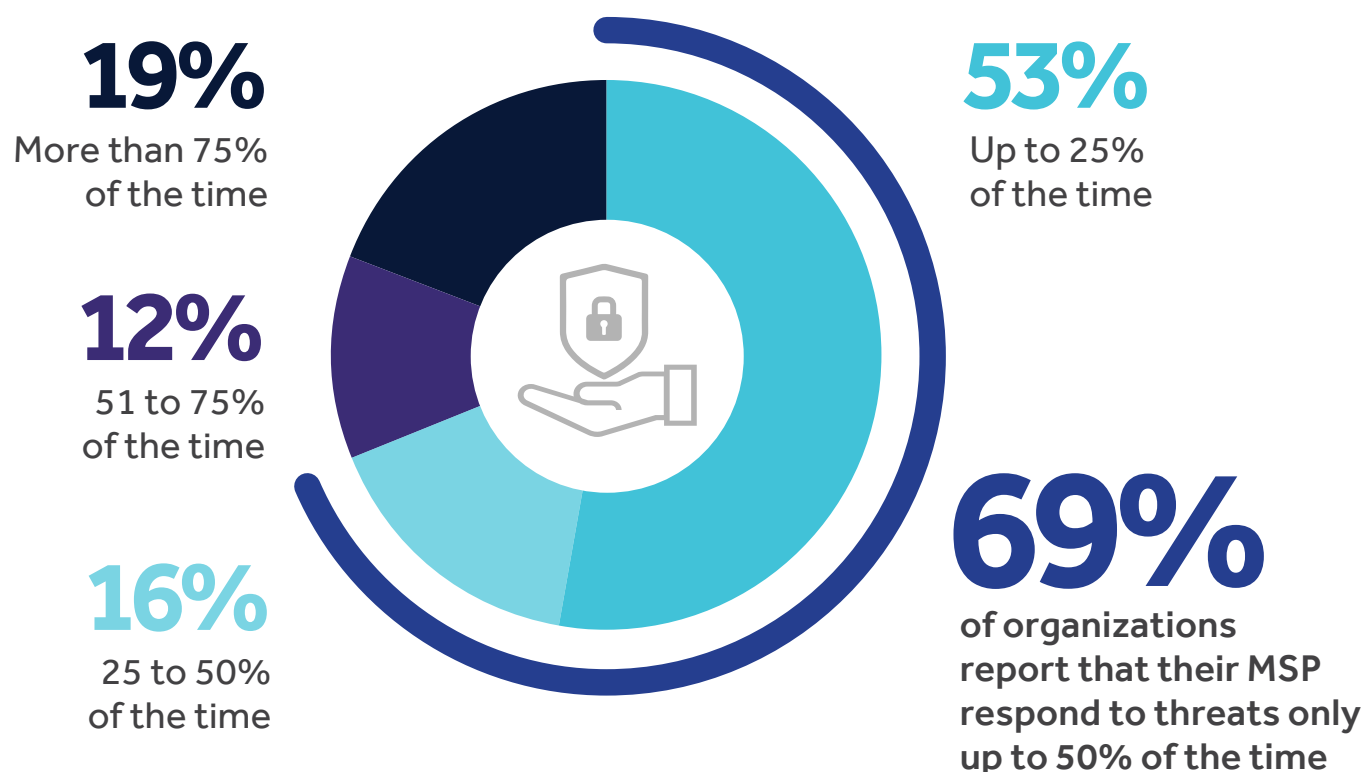


More than
1 week

THREAT RESPONSE BY MSP

An alarming majority of organizations (69%) report that their managed services provider responds to threats on their behalf only up to 50% of the time.

► How often does your managed services provider take the response action on your behalf?



Prospective MDR buyers are seeking alternatives to MSPs who continue to overwhelm their in-house security teams with alerts and unactionable feedback. It's important to recognize that not all MDR is created equal. Organizations should seek out a provider who will initiate complete response including threat containment and remediation on a customer's behalf.

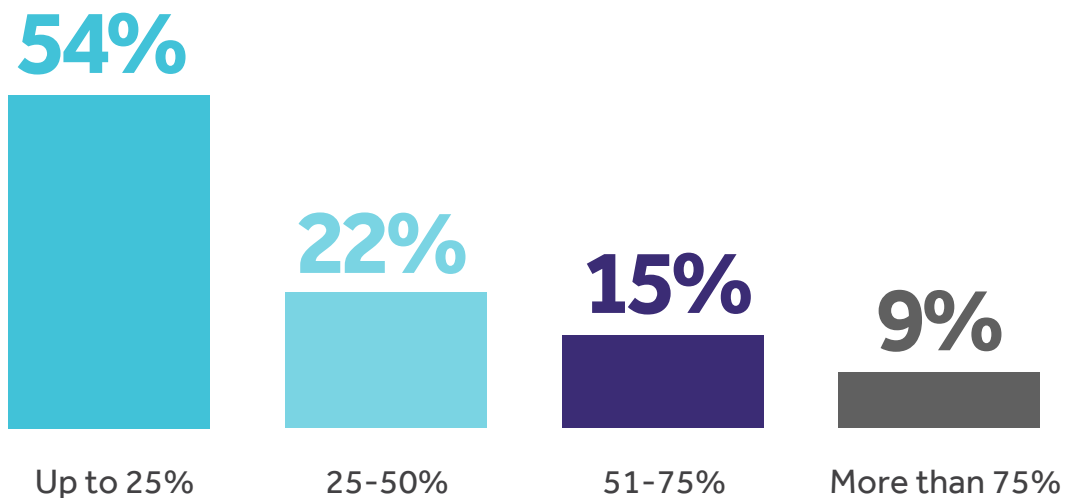
THREATS EVADING EARLY DETECTION

Cybersecurity professionals in our survey confirm a relatively large percentage of threats evading traditional security controls and moving beyond the initial foothold. A majority of organizations (76%) estimate up to half of all threats go undetected. This underscores the need for XDR-driven capabilities to improve the speed of detection, as well as better detection quality of advanced persistent threats, especially those that have progressed along the cyber kill chain.

► What share of threats do you estimate evade early detection and go beyond the initial foothold?



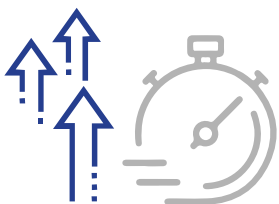
76% of organizations estimate up to half of all threats go undetected



XDR PERFORMANCE METRICS

When considering the top metrics that highlight the efficacy of XDR technology, CISOs point to three key performance indicators: Increased threat surface visibility XDR can provide rapid correlation and improvements in time to detect (69%), enables overall detection rate (61%), MDR providers powered by an XDR platform can drive higher levels of efficiency by tuning detections to business context, automatically blocking attacks, and applying machine learning models to cut noise and filter out false positives (60%).

► What metric(s) do you use to evaluate the efficacy of XDR?



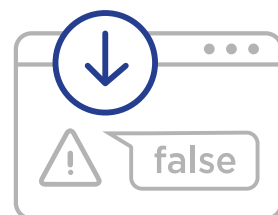
69%

Improvement in time
to detection and
response



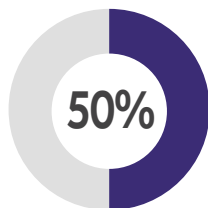
61%

Improvement in
detection rate

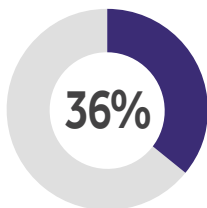


60%

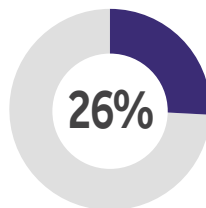
Reduction in false
positive alerts



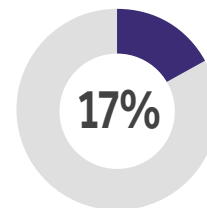
Reduction in
number of breaches



Employee
hours spent



Cost
reduction



Reduction in
staffing

Other 7%

XDR enables a level of security scale that allows SOC analysts to focus on higher priority security events that require human intuition and hand-to-hand combat.

XDR ADOPTION

When asked about their timeframes for XDR adoption, a majority of respondents (60%) have already adopted XDR or are planning to do so over the next 12+ months. We interpret this to show that use of XDR platforms will roughly triple in the next 12-24 months.

► What are your plans regarding an XDR platform in your organization?

Planning to implement
XDR in the next
12+ months



19%

Planning to select an
XDR vendor in the
next 12 months



17%

XDR is already
implemented



24%

Not sure

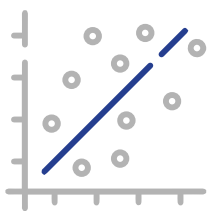


40%

SECURITY CHALLENGES

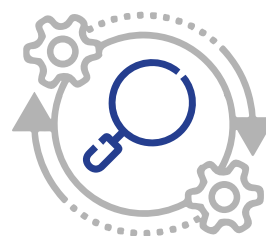
A key benefit of XDR is that data normalization and correlation across the entire attack surface enables highly effective threat detection and investigation – so it's not surprising to see that the top challenge organizations are looking to address is through XDR (64%). Since XDR also works to automatically block high fidelity threats, 59% of organizations are turning to XDR to move beyond contextualizing and correlating data across multiple signals with enhanced automation of the threat detection and remediation process.

► What are the biggest security challenges you are facing that you would look to XDR to solve?



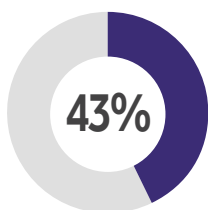
64%

Contextualizing and correlating endpoint, network, cloud, identity, user behavior and email data

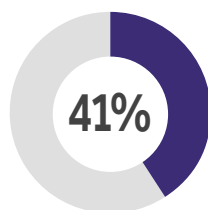


59%

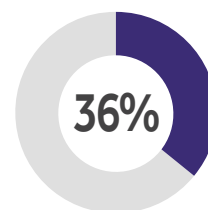
More automation of investigation and remediation process



Lack of an in-house SOC (fully managed 24/7 or hybrid)



Expanding threat surface and lack of visibility



Lack of proper SIEM coverage or SIEM technology altogether

Other 4%

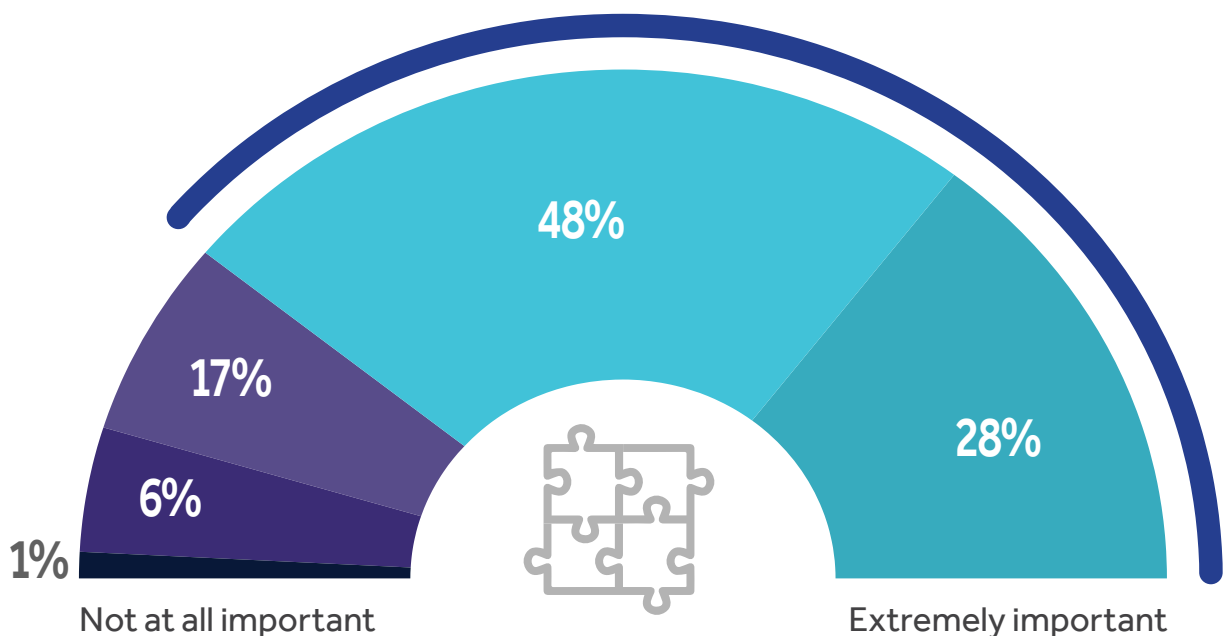
When XDR is delivered as part of an MDR service, it includes the 24/7 SOC support that many respondents struggle with in-house (43%).

XDR INTEGRATION

Working with an XDR service provider that can integrate with existing security investments is clearly important to a majority of buyers – 76% consider it very important or extremely important.

- How important is it to you that your XDR service provider can integrate with your existing security platforms (rather than imposing a proprietary platform or other third-party platform)?

76% consider it very important or extremely important



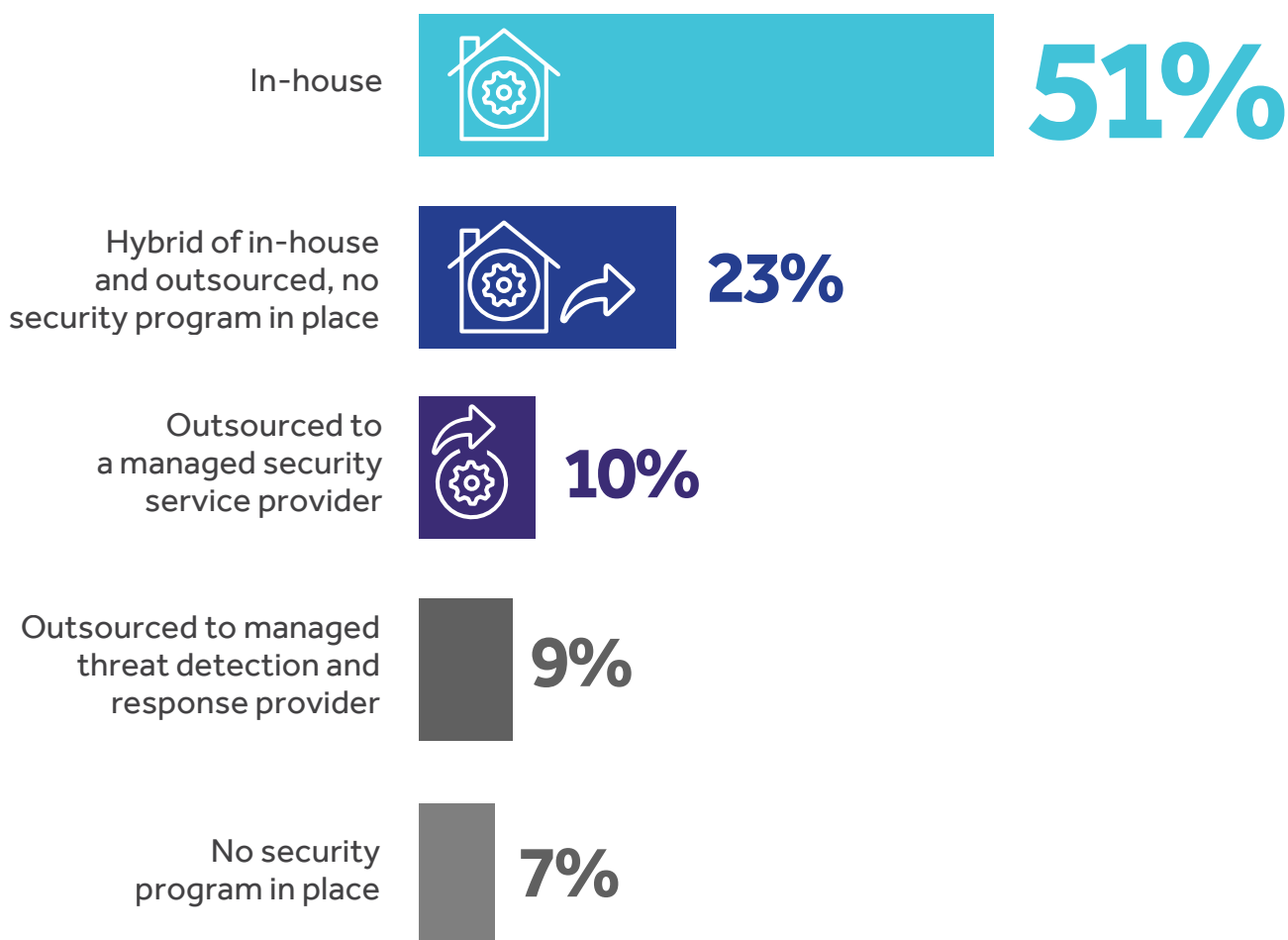
■ Not at all important ■ Slightly important ■ Moderately important ■ Very important ■ Extremely important

When looking at XDR providers, it's useful to understand whether they partner with best-of-breed technology providers for endpoint, log, cloud, and identity that can easily integrate with existing platforms.

STAFFING FOR XDR

Lack of skilled/trained security staff was highlighted as a top challenge for respondents in this survey, and 51% of respondents indicated they operate XDR in-house. As the cybersecurity skills gap continues to persist, we expect more organizations to outsource XDR and MDR capabilities to an external provider.

► How are you staffing and operating your XDR platform?

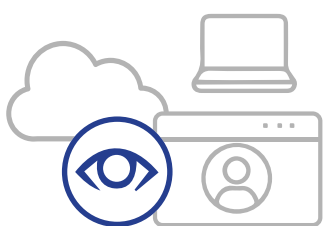


XDR has proven to be a foundational component to an MDR service that delivers complete threat detection, response, and rapid Mean Time to Contain.

CRITICAL XDR FEATURES

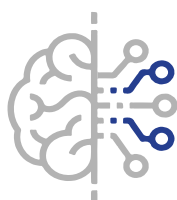
We asked cybersecurity professionals what features they consider most important in an XDR platform. Increasing visibility across the environment (77%) and eliminating noise from an overwhelming number of alerts security teams have to deal with (68%) topped the list of most important XDR platform features. This is closely followed by integrated threat intelligence and contextual information to accelerate threat hunting and response (65%).

► What features are most important to you in an XDR platform?



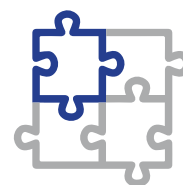
77%

Visibility across endpoint, network, cloud, identity, user behavior and email data



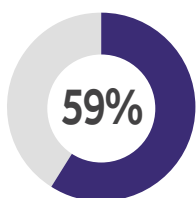
68%

Intelligent analytics eliminate noise and greatly reduce false positive rates

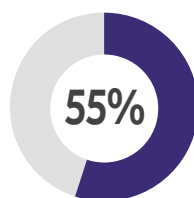


65%

Integrated threat intelligence and contextual information to enable threat hunting



Machine learning driven threat detection and containment



Increased data ingestion for better-quality investigations and responses

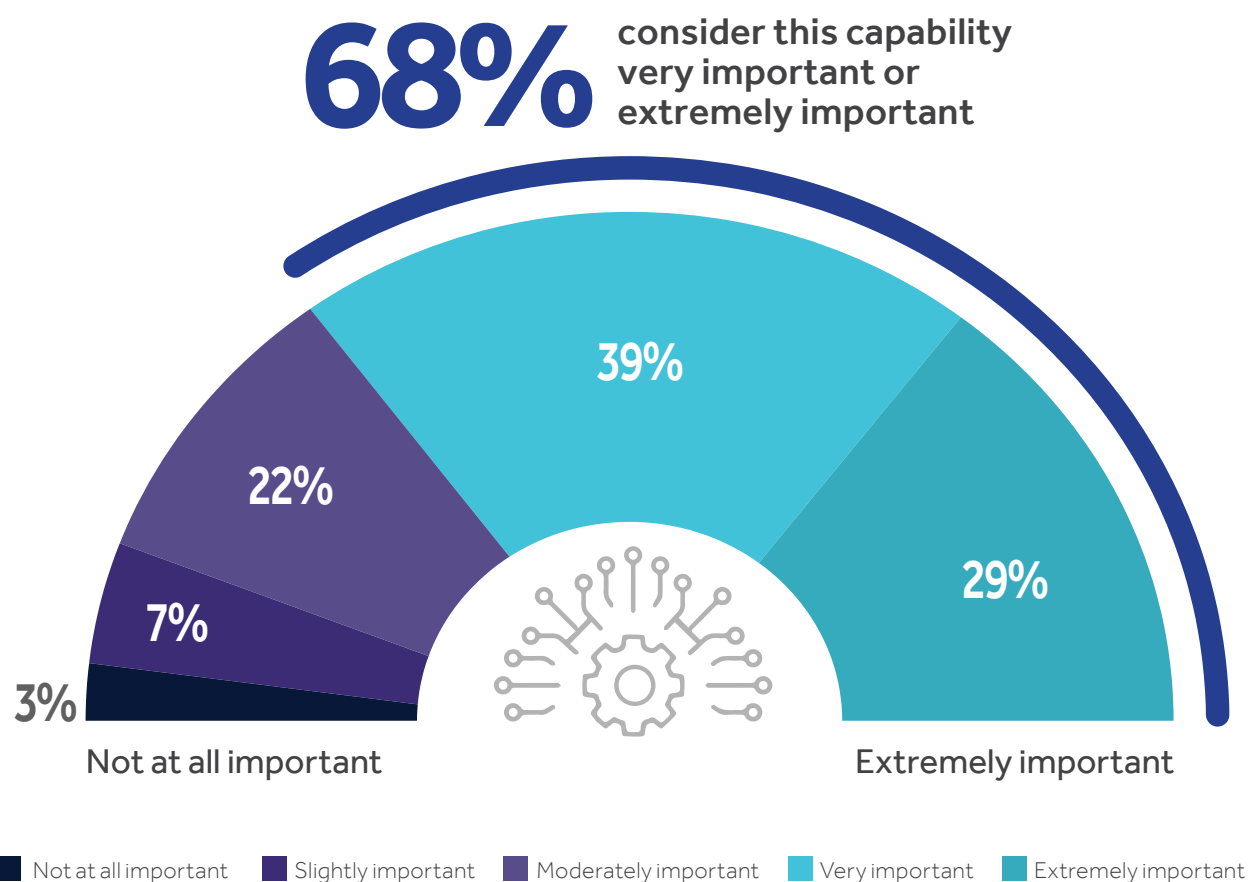
Other 4%

XDR providers that have deep machine learning expertise can build new AI models to automate detection and containment measures more effectively as new threats emerge.

MACHINE LEARNING

Based on responses, XDR providers are expected to deliver efficiencies utilizing machine learning in order to eliminate noise and provide real-time detection of threats, including zero-day attacks. A majority of 68% consider this capability very important or extremely important.

► How important is machine learning XDR in terms of delivering efficiency for your staff and automate investigation?



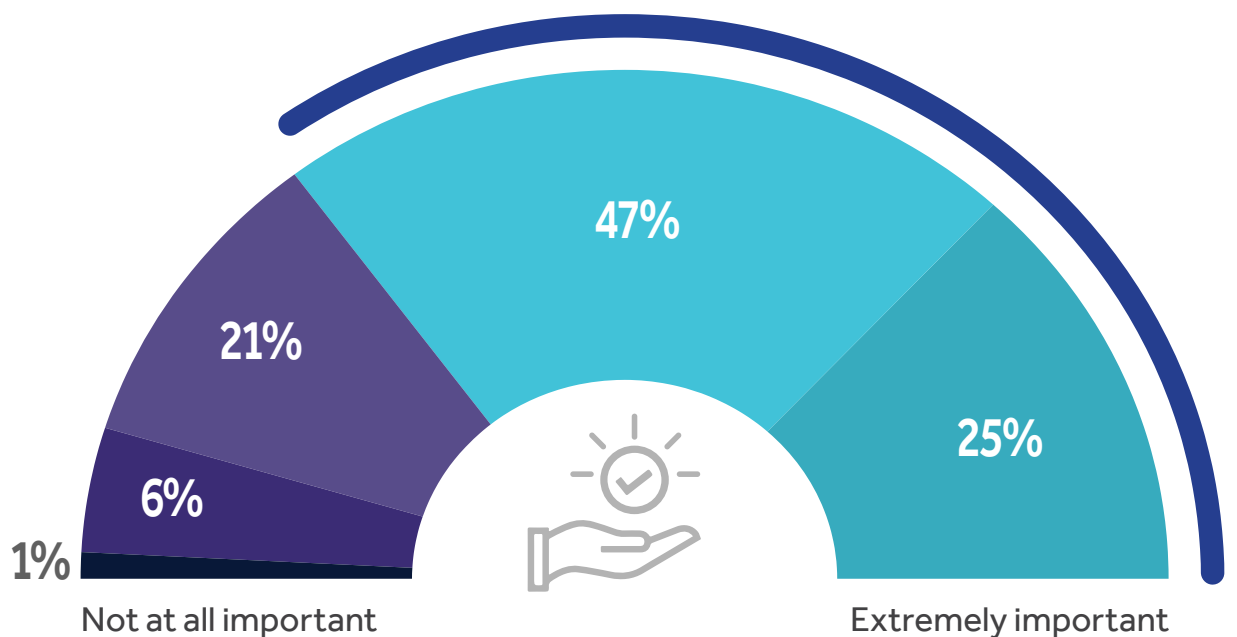
Effective XDR should enable the amplification of security outcomes across a global customer base, delivering true scale to security operations.

IMPORTANCE OF XDR

Over 70% of respondents agree that XDR is an important foundational platform that MDR providers and MSSPs should provide to enable effective multi-signal MDR services that remediate threats at speed.

► How important is XDR as a foundational platform that MDR providers or MSSPs should provide?

72% agree that XDR is an important foundational platform

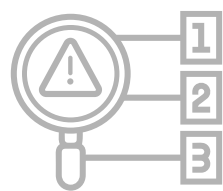


■ Not at all important ■ Slightly important ■ Moderately important ■ Very important ■ Extremely important

THREAT INTELLIGENCE

A majority of 75% of respondents rated threat intel, prioritization, and context as very or extremely important.

► **How important is threat intelligence and the ability to prioritize and contextualize security observations as part of an XDR service offering?**



75% rated threat intel, prioritization, and context as very or extremely important



Not at all important Extremely important

■ Not at all important ■ Slightly important ■ Moderately important ■ Very important ■ Extremely important

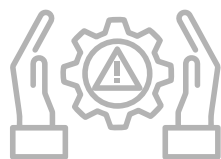
When looking at XDR service offerings, it's important to consider to consider if the provider integrates its own threat intelligence from proactive threat hunting, open-source intelligence, and commercial threat feeds, that informs the XDR-driven detections?

XDR EFFECTIVENESS

We asked cybersecurity professionals in our survey how effective they expect XDR to be in mitigating risk and reducing risk profiles. While there is certainly no end to cyber risk, the majority of respondents (74%) believe XDR can effectively mitigate and reduce risk for their organizations by improving many of the challenges CISOs are facing, including:

- Contextualizing and correlating data
- Automating of investigation and remediation
- Lack of an in-house 24/7 SOC
- Expanding threat surface and lack of high-fidelity visibility

► **How effective do you expect XDR to mitigate risk and reduce your risk profile?**



74% believe XDR can effectively mitigate and reduce risk



Not at all effective

Extremely effective

■ Not at all effective ■ Slightly effective ■ Moderately effective ■ Very effective ■ Extremely effective

SECURITY DATA SOURCES

The more data sources an XDR platform can ingest, normalize, and correlate, the more visibility it provides into critical parts of the attack surface. It's encouraging to see that most respondents collect endpoint (83%), log (81%), network (80%), and vulnerability (64%) signals. After all, organizations can only detect and respond to what they can see.

► Which of the following data sources does your organization currently collect signals from?



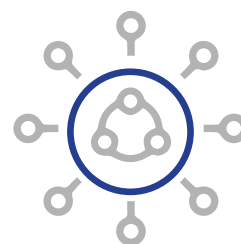
83%

Endpoint



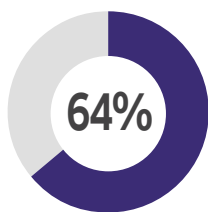
81%

Log

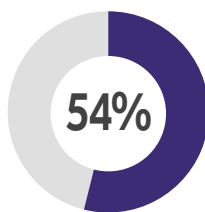


80%

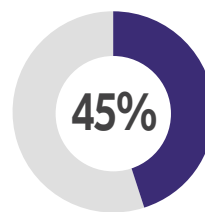
Network



Vulnerability



Cloud



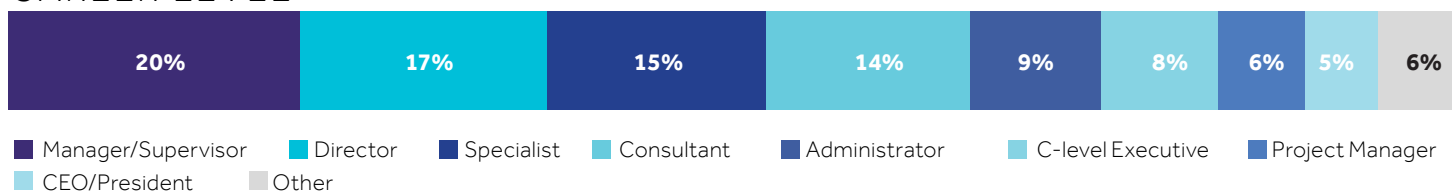
Insiders
(employees, etc.)

Other 6%

METHODOLOGY & DEMOGRAPHICS

The 2022 XDR Report is based on a comprehensive survey of 227 cybersecurity professionals conducted in January 2022. The respondents range from technical executives to IT security practitioners, representing a balanced cross-section of organizations of varying sizes across multiple industries.

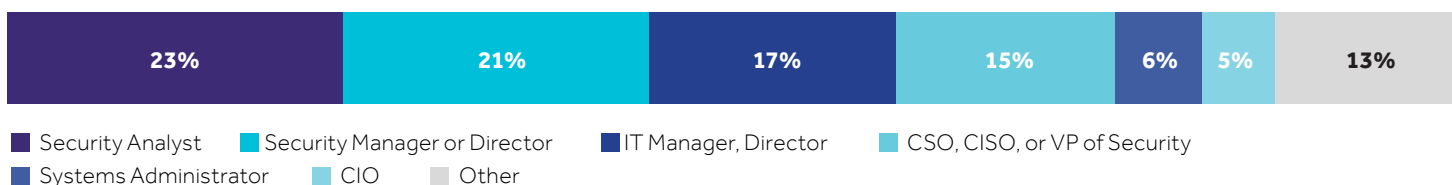
CAREER LEVEL



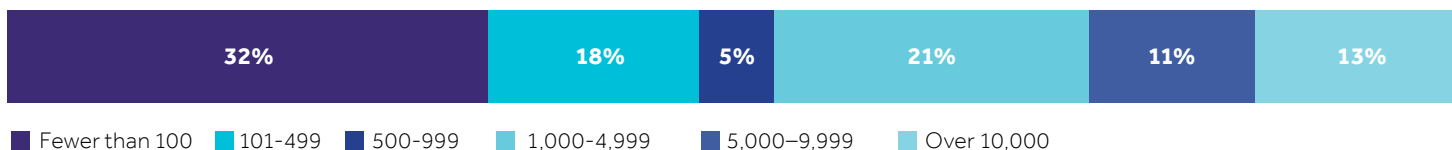
DEPARTMENT



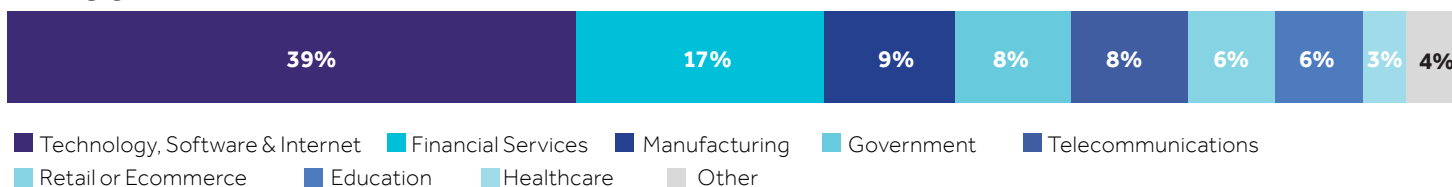
PRIMARY ROLE



COMPANY SIZE



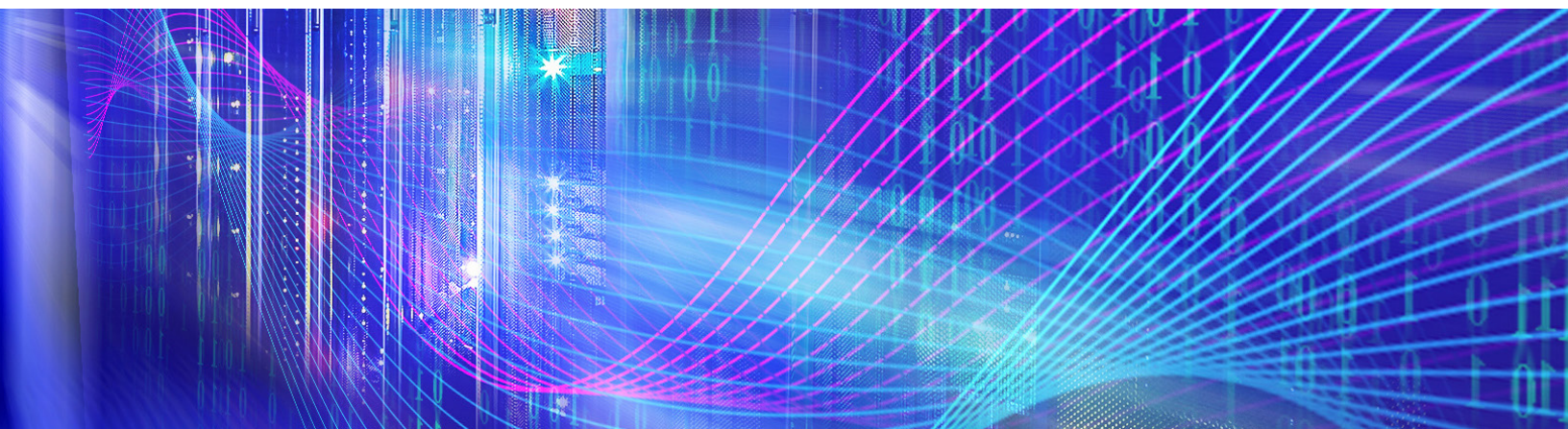
INDUSTRY



eSENTIRE

eSentire, Inc., is the Authority in Managed Detection and Response, protecting the critical data and applications of 1200+ organizations in 75+ countries from known and unknown cyber threats. Founded in 2001, the company's mission is to hunt, investigate and stop cyber threats before they become business disrupting events. Combining cutting-edge machine learning XDR technology, 24/7 threat hunting, and proven security operations leadership, eSentire mitigates business risk, and enables security at scale. The Team eSentire difference means enterprises are protected by the best in the business with a named Cyber Risk Advisor, 24/7 access to SOC Cyber Analysts & Elite Threat Hunters, and industry-leading threat intelligence research from eSentire's Threat Response Unit (TRU). eSentire provides Managed Risk, Managed Detection and Response and Incident Response services.

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Cybersecurity

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